MSBF
Merchant Sales-Based Financing Platform

MERCHANT CREDIT INTELLIGENCE

MODULE 2 • DECISION & LIFECYCLE ARCHITECTURE

Governed Decisioning, Operations, Portfolio & G3-v2 Lineage

Search the structure. Separate authority. Follow the account.

6,519
Reportable financing structures
Amount • remittance • payback • 30/60/90 days

130
Funded scenario paths
103 Baseline + 27 Recession Energy

$1,385,300 / $344,200
Synthetic funded amount
Baseline / Recession Energy • alternative scenarios

15,600
Monitoring account-days
120 days for each funded scenario path

STRUCTURE SEARCH → FINAL AUTHORITY

FUNDED LIFECYCLE → PERMITTED OPERATIONS

PORTFOLIO → CERTIFIED CONSUMPTION

M2.1 Eligibility & policy routing

INPUT
G2 application, acquisition and policy evidence.

LOGIC
Separate insufficient evidence and non-remediable stops from decisionable, structure-remediable paths.

OUTPUT / GRAIN
Decisionable routes + preserved evidence / hard-stop reasons.

BOUNDARY
Eligibility and routing; no final funding authority.

M2.2 Pricing & counter-offer search

INPUT
Routed request; capacity, risk and economics.

LOGIC
Test amount, remittance, payback and 30/60/90-day structures inside governed boundaries.

OUTPUT / GRAIN
6,519 reportable structures; selected alternative or no-feasible proof.

BOUNDARY
Construct and test. Final offer authority belongs to M2.3.

M2.3 Final decision & offer authority

INPUT
Gate results, tested structures and matched scenarios.

LOGIC
Choose authority-first; enforce strict/review frontiers and the governed stress floor.

OUTPUT / GRAIN
1,500 final scenario paths; seven distinct outcomes and applicable terms.

BOUNDARY
Authorize or require review. A reviewable structure is not approval.

M2.4 Booking, funding & activation

INPUT
Final authorization + selected financing structure.

LOGIC
Book, fund and activate only the authorized synthetic financing paths.

OUTPUT / GRAIN
130 funded scenario paths: 103 Baseline + 27 Recession Energy.

BOUNDARY
Funding / portfolio activation; not operational setup.

M2.5 Daily remittance & monitoring

INPUT
Funded lifecycle, daily sales and R26 monitoring policy.

LOGIC
Calculate remittance, balance and pace. Season pace signals; preserve early hard triggers.

OUTPUT / GRAIN
15,600 account-day rows; 120 days per funded scenario path.

BOUNDARY
Watch / adverse eligible at day 21/30; 3 consecutive eligible breach days.

M2.6 Intervention & servicing strategy

INPUT
Monitoring endpoint + recent account behavior.

LOGIC
Route no action, targeted outreach review or temporary remittance review from evidence.

OUTPUT / GRAIN
130 routes: 126 no action / 3 outreach review / 1 temporary review.

BOUNDARY
Recommendation and review routing; not execution.

M2.7 Operational account setup

INPUT
Intervention + governed execution conditions.

LOGIC
Resolve permitted setup, account instructions and any review hold.

OUTPUT / GRAIN
130 setup states with explicit permission and hold treatment.

BOUNDARY
Permitted operational setup remains distinct from funding.

M2.8 Servicing execution

INPUT
Setup state, payment instructions and balances.

LOGIC
Simulate permitted payments, returns and retries; reconcile corrected cent rounding.

OUTPUT / GRAIN
130 summaries + permitted synthetic event detail.

BOUNDARY
Execute only permitted instructions; retain payment lineage.

M2.9 Account-state certification

INPUT
Execution events + source balances and instructions.

LOGIC
Reconcile payments, returns/retries, remaining balances and permitted states.

OUTPUT / GRAIN
130 account certifications; source / execution / balance reconciliation.

BOUNDARY
Certify account state with exact-zero reconciliation.

M2.10 Portfolio performance

INPUT
Monitoring, execution and certified account state.

LOGIC
Assemble endpoint exposure, state, exceptions and source-owned portfolio KPIs.

OUTPUT / GRAIN
130 portfolio rows; $6,061.03 Baseline certified exposure.

BOUNDARY
The portfolio endpoint owns its measures and exposure basis.

M2.11 Bounded terms & account simulation

INPUT
1,500 paths; 6,519 structures; 130 account paths.

LOGIC
Compare bounded offer/terms and account-treatment alternatives across eight profiles.

OUTPUT / GRAIN
52,152 structure-profile; 12,000 application-profile; 1,040 account-profile rows.

BOUNDARY
Bounded simulation under the accepted authority boundary.

M2.12 Enterprise certification

INPUT
Accepted sources + simulation and validation evidence.

LOGIC
Bind source, simulation, control, report and consumption identities.

OUTPUT / GRAIN
70/70 G3-v2 source controls PASS; exact versioned consumption boundary.

BOUNDARY
Certify source consumption. Power BI explains the source facts.

Primary evidence progression → • Cross-stage source dependencies are retained; the diagram is not an execution script.

GOVERNED SEARCH BOUNDARIES

Minimum amount 40% of request • Maximum reduction 60% • 30/60/90-day horizons

Economic hurdle • Authority-first selection • Matched stress floor

SEVEN OUTCOMES. THREE AUTHORITY CLASSES.

1,500 application-scenario paths • not 1,500 distinct merchants

AUTHORIZED		REVIEW REQUIRED		DECLINE	
130		**250**		**1,120**	
As requested	115	Counter-offer	212	Insufficient evidence	234
Counter-offer	15	Manual underwriting	38	No feasible structure	652
				Policy hard stop	234

A supportable structure can still require review.
Only authorized outcomes enter synthetic funding.

COUNTER-OFFER ≠ AUTOMATIC APPROVAL

Synthetic merchant 098 • $5,200 requested in both alternatives

BASELINE
$5,200
As requested • authorized

RECESSION ENERGY
$2,500
Counter-offer • authorized

Matched alternatives for one merchant—not a time sequence.

THE AUTHORITY DISTINCTION • SYNTHETIC MERCHANT 082

$53,800 request → $31,200 selected

Baseline counter-offer • REVIEW REQUIRED, not funded

RECONCILE THE LIFECYCLE, NOT JUST THE DECISION

Certified account endpoint • 130 funded scenario paths

126	3	1
Paid off	Review holds	Active, reconciled

BASELINE EXPOSURE BRIDGE

$7,823.28 − $1,762.25 = $6,061.03

M2.25 attention exposure − processed = M2.10 certified exposure

Zero unresolved exceptions ≠ zero remaining exposure.

G2 foundation preserved → R26 decision + synthetic lifecycle → G3-v2 source certification → Power BI P01–P04

Evidence. Decisions. Accountability.
Independent portfolio • Andrew R. Goad

v2.1 | MODULE 2 LINEAGE
Deterministic synthetic evidence • Non-production • No real funds